

CRR - Credit Risk Rating Matrix

CRR rating for Private Bank clients / borrowers is determined based on the following criteria. However, any “edge” cases where client can be close to either CRR, Credit Risk Officer will ultimately assign and affirm the CRR rating based on client / borrower financial strength, ability to repay and sources of repayment.

CRR-2

Primary Source of Repayment:

- Income (includes Guarantor Dependent): Net Worth over \$25MM AND Qualifying Debt / Income ratio of $\leq 25\%$ AND Liquidity $\geq 2x$ total of the subject facility plus all unsecured debt commitments (3x the same calculation for GTR Dependent).
- Income Supplemented by Reserves (includes Guarantor Dependent): OSNWE larger than \$25MM AND Qualifying Debt/Income ratio of $\leq 50\%$ AND Liquidity $\geq 4x$ total of the subject facility plus all unsecured debt commitments (same calculation for GTR Dependent).

CRR-3:

Primary Source of Repayment:

- Income: Qualifying Debt/Income ratio of $\leq 40\%$.
- Income Supplemented by Reserves: Qualifying Debt/Income ratio of $\leq 45\%$ AND Contractual Reserves ≥ 12 months
- Guarantor Dependent: No Net Worth criteria, but Liquidity $\geq 3x$ the guaranteed facility. If Liquidity drops below 3x the facility is no longer Guarantor Dependent.

Performance to Expectations (Financial Milestones):

- No history of covenant defaults, AND FICO score over 670

CRR-4:

Primary Source of repayment:

- Income: Qualifying Debt/Income ratio of $\leq 45\%$ AND Contractual Reserves ≥ 6 months.
- Income Supplemented by Reserves: Qualifying Debt/Income ratio of $\leq 50\%$ AND Contractual Reserves ≥ 18 months, OR
- (Premier Segment Only) Gross Debt/Income Ratio of $\leq 55\%$, AND NW $\geq \$10MM$, AND Contractual Reserves ≥ 36 months.

Performance to Expectations (Financial Milestones):

- History of covenant defaults (all waived by Bank), OR FICO score < 670 , OR FICO score < 620 for Non-Qualified Reasons AND Contractual Reserves > 36 months or DTI $< 40\%$